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31 October 2025

Committee Secretary
Joint Standing Committee on Electoral Matters
PO Box 6021
Parliament House
Canberra ACT 2600
em@aph.gov.au

Dear Committee Secretary,

Transparency International Australia (TI Australia) welcomes the opportunity to contribute to the Committee's 2025 inquiry.

TI Australia is part of the global Transparency International Movement, dedicated to fighting corruption and promoting transparency, accountability, and integrity worldwide. We work to strengthen Australia's integrity framework across political finance, lobbying, whistleblower protection, and access to information.

Our submission focus on key areas of electoral integrity and where practical reforms are most urgent. These include the political finance reforms passed by the 47th Parliament; truth in political advertising; resilience to foreign and domestic interference risks, and fixed terms and representation in Parliament. We asses each through the lenses of accountability, voter equality and public trust.

Our recommendations are consistent with the work of the global Transparency International Movement[1]. They emphasise enforceable transparency that engenders public trust.

Given the lack of consultation by the government in passing the electoral reform bill in 2025, we also propose a multiparty, expert review of political finance settings before the current commencement date of 1 July 2026, so that known gaps are closed well before the next federal election.

TI Australia supports the Committee's work and would welcome the opportunity to expand on this submission by providing solutions to strengthen proposed changes.

Yours sincerely,

[redacted]

Clancy Moore

CEO, Transparency International Australia

[1] Transparency International (2024) Standards for Integrity in Political Finance: A Global Policy Position. https://www.transparency.org/en/publications/standards-for-integrity-in-political-finance-global-policy-position

AUSTRALIA NEEDS URGENT ELECTORAL REFORMS

The electoral reforms[2] passed by the 47th Parliament require further review and the closure of multiple loopholes to ensure they create a level playing field and and genuinely limit undue influence.

Australia needs political finance rules that level the playing field and make sense to voters: simple, timely transparency about who is funding whom, clear limits that prevent an a US style "arms race", and enforcement strong enough to make ensure rules are abided by.

The stakes are high. When big money is hidden, or spent without constraint, public decisions risk being shaped by private interests rather than the public good. Public trust falls, participation narrows, and diverse competitors, particularly independents and new entrants, are squeezed out.

While the reforms enacted by the 47th Parliament represent some progress, material weaknesses remain.

The reforms will lift transparency when it starts on 1 July 2026. It lowers the disclosure threshold from $16,900 to $5,000 and requires donations to be reported within seven days during an election period and within two months at other times. Parties must also disclose when a donor's cumulative gifts to that party hit $5,000 in a calendar year, even if each gift is below the threshold.

The Bill also introduces caps on donations for campaign expenses, and electoral expenditure for election campaigns. Together, these changes should mean Australians can see who is donating throughout the term of Parliament and electoral cycle, and they might help slow the fundraising arms race.

But key gaps remain. The $90 million national expenditure cap for a party is too high, and the $800,000 per-seat cap is too low, which risks entrenching advantages for incumbents over new entrants.

The donation-cap settings can also be gamed across party branches as caps apply separately to each branch. This creates opportunities to split contributions in ways that keep voters in the dark and preserve outsized influence. For example, a wealthy individual or company could donate $50,000 to each state, territory and federal branch of a political party in one year. In short, the Act, as passed, does not adequately get big money out of politics or create a level playing field.

The disclosure threshold of $5,000 remains sufficiently high to be circumvented, and the definition of a "gift" does not clearly capture cash-for-access arrangements, leaving significant donations outside the reporting net.

As drafted, the spending rules don't prevent parties from pouring centrally funded advertising into target seats without it properly counting toward those seats' limits, and they give nominated or associated entities preferential treatment that risks uneven application of the rules.

Collectively, these deficiencies allow substantial funding, often from sectors with direct regulatory interests, to be structured out of sight, while escalating campaign costs entrench advantages for well-resourced incumbents over independents and new entrants. Unless rectified, the reforms will not deliver the necessary transparency and competitive neutrality for elections to be

[2] Electoral Legislation Amendment (Electoral Reform) Act 2025 (Cth). https://www.aph.gov.au/Parliamentary_Business/Bills_Legislation/Bills_Search_Results/Result?bId=r7280

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understood as contests of ideas rather than of financial capacity.

Recommendations:

- establish an independent, expert Commission in the style of Queensland's former Electoral and Administrative Review Commission to advise on carefully calibrated donation and expenditure caps;
- lower the donation disclosure threshold from $5,000 to the originally intended $1,000;
- aggregate donations for the purposes of both the donation cap and disclosure across party branches to stop wealthy individuals or big business donating $50K to multiple branches of political parties every year;
- implement fair donation and expenditure caps to prevent an 'arms race' in election campaigns while ensuring challenger candidates and minor parties are not disadvantaged, including:
    - introducing an 'anti-piling in' provision requiring all expenditure to count against seat caps in proportion to where it is distributed;
- requirements that all cash-for-access and corporate donations be disclosed, regardless of size which currently allow millions in 'dark money' to continue to flow to the major parties;
- where in the public interest, clearer reporting, meaningful civil-society input, and a more independent oversight committee).
- abolish the special treatment of nominated entities so that all associated entities are treated equally and subject to the same limits; and
- require political parties to record and report campaign income and expenditure with gender disaggregated information that is published annually by the Australian Electoral Commission (AEC).

These steps would turn the new legal framework into a system that delivers real-time transparency, limits undue influence, and keeps the field fair at the next election.

TI Australia supports a structured, multiparty review to evaluate the transparency and fairness in the current Act, focusing on whether wealthy donors and sectors could still aggregate outsized influence through workarounds.

The review should also signal early what must be fixed before the next electoral cycle so that the 2028 election is fair, transparent, and not tilted toward incumbents or major parties.

A CHANGED COMMUNICATIONS LANDSCAPE

When political actors can run ads that make blatant false claims, public trust erodes. Australia needs a national truth-in-political-advertising law that targets this problem directly while protecting free speech.

Parliament have a workable starting point in the lapsed Electoral Legislation Amendment (Electoral Communications) Bill 2024[3], which drew on the proven truth-in-political-advertising frameworks operating in South Australia and the Australian Capital Territory.

Reviving and refining that approach would provide a nationally consistent, carefully bounded standard that targets materially false

[3] Electoral Legislation Amendment (Electoral Communications) Bill 2024 (Cth). https://www.aph.gov.au/Parliamentary_Business/Bills_Legislation/Bills_Search_Results/Result?bId=r7279

claims in paid advertising without chilling legitimate debate.

Movement on governing truth in political advertising was recommended in the 2022 JSCEM report, and is also a commitment in Australia's Third Open Government Partnership National Action Plan[4]. Acting on it this year would show tangible progress on open government and integrity.

There is strong public support for such a law[5], and we have working precedents at home. South Australia has had truth-in-advertising provisions since 1985, contributing to a healthier campaign culture; the ACT has followed with its own framework. A measured federal law could deliver the same benefits nationally.

To maintain confidence in the Australian Electoral Commission's impartiality, administration of the scheme should sit with an independent panel empowered to triage complaints swiftly against clear criteria, with enforcement through the courts where necessary. This keeps the AEC out of content adjudication while ensuring credible, time-critical decisions.

Authorisation rules remain necessary, as they help voters understand who is speaking, but they are not sufficient in a digital, AI-enabled environment. A truth standard complements authorisation by setting a standard against materially false factual claims.

Given the growth of AI-generated media, the legislation should also require conspicuous disclosure wherever a person's image, voice or words have been fabricated or materially altered, with rapid correction powers where deepfakes are used to assert false facts.

INTERFERENCE RISKS—FOREIGN AND DOMESTIC

Australia has strengthened its defences against covert foreign influence, and recent reviews have not found proven foreign interference altering federal election outcomes[6]. That shouldn't breed complacency. The more persistent risks are at home including coordinated disinformation and "astroturf" networks posing as grassroots groups.

Astroturfing, where interest groups create front organisations or campaigns to disguise who is really behind the message, now spans community pages, "independent" experts and creator/influencer content. In climate and energy debates in particular, seemingly innocuous brands have fronted industry positions, while polling firms and advocacy vehicles have run campaigns calibrated to sway public opinion. Other entities with opaque ownership structures have repeatedly pushed misleading narratives about renewables, exploiting gaps in transparency rules.

Protecting trust means being able to see and respond to these tactics quickly and openly.

Currently, entities are required only to provide a name and an address when sponsoring a political advertisement. In practice, this enables organisations, including shell companies established shortly before an election, to obscure their true backers and avoid meaningful scrutiny.

In today's highly digital campaigning environment, political advertising extends well beyond traditional media outlets. Online campaigns are increasingly conducted through

[4] Commonwealth of Australia, Attorney-General's Department, Australia's Open Government Third National Action Plan https://www.ag.gov.au/sites/default/files/2023-12/australias-third-open-government-national-action-plan-2024-2025.pdf

[5] The Australia Institute (2025) *Truth is the first casualty in an election campaign* https://australiainstitute.org.au/post/truth-is-the-first-casualty-in-an-election-campaign/

[6] Australian Electoral Commission (2025) EIAT Board advice to the acting Electoral Commissioner on the 2025 federal election. https://www.aec.gov.au/About_AEC/files/eiat/Endorsed%201%20July%202025%20-%20EIAT%20Board%202025%20federal%20election%20post-event%20advice.pdf

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social media platforms, digital influencers, and targeted advertising, amplifying the reach and impact of disinformation.

For these reasons, Australia must move beyond the limited scope of existing campaign finance disclosure laws. A comprehensive, national framework is needed to ensure that political actors cannot mount astroturfing operations or deploy misleading advertising without accountability.

None of this replaces vigilance against state-linked actors; it recognises that domestic vectors and cross-border tactics now blur and must be tackled together. A comprehensive, national framework that links money, access and messaging, closing astroturfing loopholes, lifting authorisation transparency, and making false paid claims fixable in real time, will better protect the public's right to cast an informed vote.

COMPOSITION OF THE PARLIAMENT—TERM LENGTH, FIXED TERMS AND REPRESENTATION

Changes to parliamentary terms and composition should be judged by whether they advance accountability, voter equality and trust, not partisan convenience.

Fixed terms would bring the Commonwealth into line with every state except Tasmania.

They reduce opportunistic election timing, provide certainty for long-term policy and budget planning, and allow the AEC, parties and civil society to prepare in an orderly way, improving the administration and scrutiny of elections and making civic participation less ad hoc.

On representation, the House has not kept pace with population growth and geographic change. An independent review should examine whether an increase in electorates and representatuves would deliver fairer, more responsive representation.

Any reforms should strengthen parliamentary scrutiny and make it easier for voters to access their representatives in their own electorates.

More predictable terms and appropriately resourced representation can enhance committee work, support better constituency service, while helping to curb the concentration of campaign resources late in the cycle.

Finally, the pathway matters. To build legitimacy, the review and reform process should be open and multi-partisan, grounded in clear evidence, and engage the public through consultation.

Reforms adopted this way are more likely to be seen as serving the public, not the players, and to deliver a Parliament that is more accountable, more representative and more trusted.

ABOUT TRANSPARENCY INTERNATIONAL AUSTRALIA

Transparency International Australia is part of a global coalition to fight corruption and promote transparency, integrity and accountability at all levels and across all sectors of society, including in government.

TI Australia believes that corruption is one of the greatest challenges of the contemporary world. Corruption undermines good government, distorts public policy, leads to the misallocation of resources, harms private and public sector development and particularly hurts the poor. It drives economic inequality and is a major barrier in poverty eradication.

Tackling corruption is only possible with the cooperation of a wide range of stakeholders. We engage with the private sector, government and civil society to build coalitions against corruption. Coalitions against corruption will help shape a world in which government, politics, business, civil society and the daily lives of people are free of corruption.

TI Australia is the national chapter of Transparency International (TI), the global coalition against corruption, with a presence in over 100 countries. TI Australia was launched in March 1995 to raise awareness of corruption in Australia and to initiate moves to combat it.